



Penetration Testing

Ivyfi 2nd (DeFi)

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CAUTION

THIS DOCUMENT IS A SECURITY PENETRATION TEST REPORT AND MAY CONTAIN CONFIDENTIAL INFORMATION. THIS INCLUDES IDENTIFIED VULNERABILITIES AND MALICIOUS CODE THAT COULD BE USED TO COMPROMISE THE PROJECT. THIS DOCUMENT SHOULD ONLY BE FOR INTERNAL USE UNTIL ISSUES ARE RESOLVED. ONCE VULNERABILITIES ARE REMEDIATED, THIS REPORT CAN BE MADE PUBLIC. THE CONTENT OF THIS REPORT IS OWNED BY HASHLOCK PTY LTD FOR THE USE OF THE CLIENT.

Executive Summary

The IvyFi team partnered with Hashlock to conduct a security Penetration Test of their IvyFi Project code base. Hashlock manually and proactively reviewed the code to ensure the project's team and community that the deployed tools were secure.

Project Context

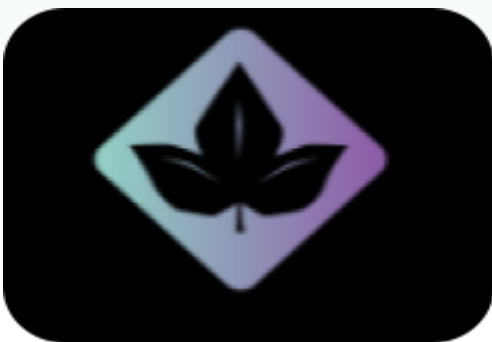
IvyFi is a decentralized finance (DeFi) platform built atop the Hedera network, designed to offer users fast, secure, and transparent staking opportunities. It emphasizes simplicity for both newcomers and seasoned users, enabling seamless asset growth while contributing to a thriving ecosystem. Through its "Consensus" mechanism, stakeholders can actively shape the platform's future. The project is currently operating on a beta testnet, with Phase 3 rolling out soon, and more technical details available in its litepaper.

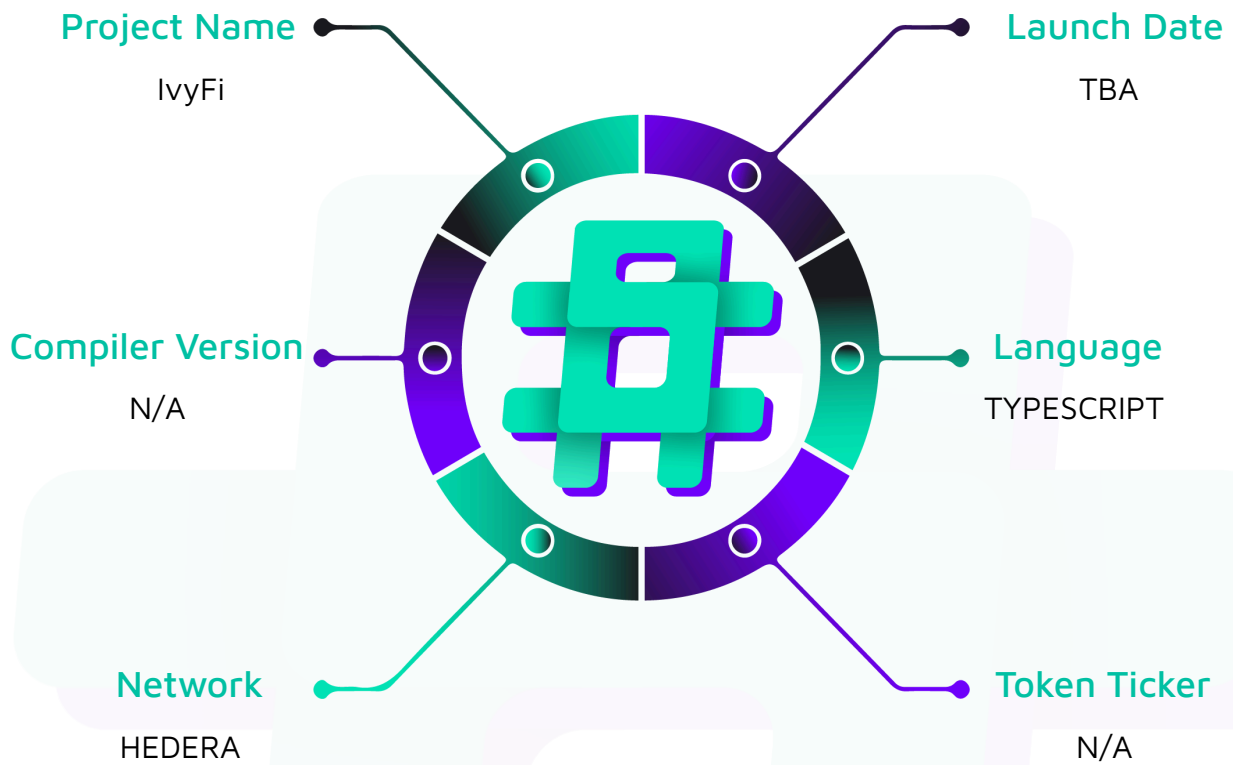
Project Name: IvyFi

Project Type: DeFi

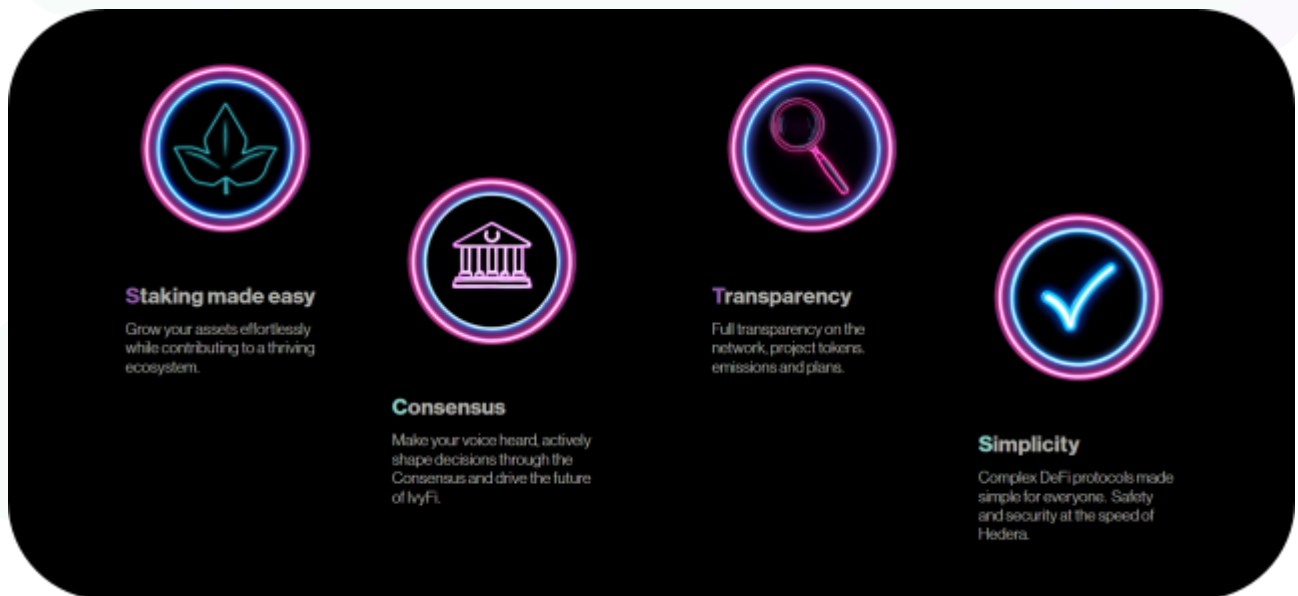
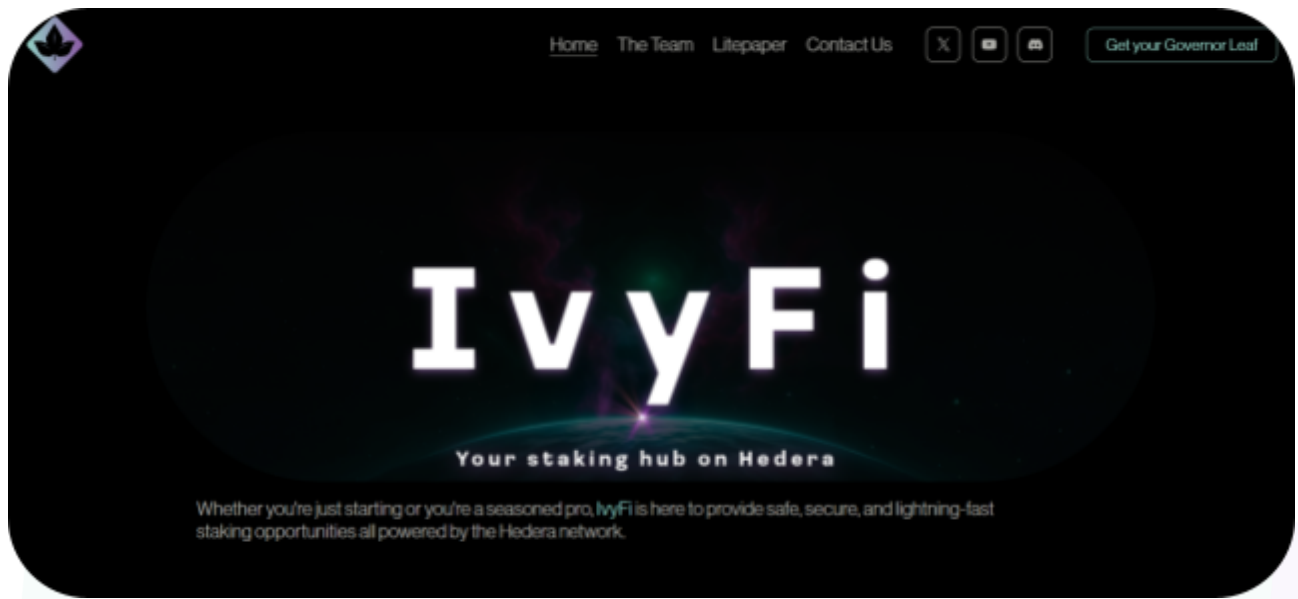
Website: <https://www.ivyfi.io/>

Logo:



Visualised Context:

Project Visuals:



Penetration Test Scope

At Hashlock, we executed a comprehensive penetration test on the IvyFi project. Our scope included a detailed security assessment, where we rigorously examined the code to identify vulnerabilities and assess overall efficiency. The testing process involved a meticulous manual review, supplemented by advanced software-assisted techniques, to ensure thorough analysis and accuracy.

Description	IvyFi Code Base
Platform	Web apps & APIs
Penetration Test Date	December, 2025
Repository/Website URL/IP Tested	https://github.com/IvyFi/BackendHash
Audited GitHub Commit Hash	ff606d4667dfcf6744116a38a7b280e2df4b6c50
Fix Review GitHub Commit Hash	e48b0d5611f9fed3b7f7a37493c5a51ab527d685

Security Rating

After Hashlock's Penetration Test, we found the code base to be **"Secure"**. The code follows simple logic, with correct and detailed ordering.



The 'Hashlocked' rating is reserved for projects that ensure ongoing security via bug bounty programs or on-chain monitoring technology.

All issues uncovered during automated and manual analysis were meticulously reviewed and applicable vulnerabilities are presented in the [Penetration Test Findings](#) section.

All vulnerabilities initially identified have now been resolved.

Hashlock found:

3 Low-severity vulnerabilities

Caution: *Hashlock's Penetration Tests do not guarantee a project's success or ethics, and are not liable or responsible for security. Always conduct independent research about any project before interacting.*

Severity Definitions

The severity levels assigned to findings represent a comprehensive evaluation of both their potential impact and the likelihood of occurrence within the system. These categorizations are established based on Hashlock's professional standards and expertise, incorporating both industry best practices and our discretion as security auditors. This ensures a tailored assessment that reflects the specific context and risk profile of each finding.

Significance	Description
High	High-severity vulnerabilities can result in loss of funds, asset loss, access denial, and other critical issues that will result in the direct loss of funds and control by the owners and community.
Medium	Medium-level difficulties should be solved before deployment, but won't result in loss of funds.
Low	Low-level vulnerabilities are areas that lack best practices that may cause small complications in the future.
Gas	Gas Optimisations, issues, and inefficiencies
QA	Quality Assurance (QA) findings are purely informational and don't impact functionality. These notes help clients improve the clarity, maintainability, or overall structure of the code, ensuring a cleaner and more efficient project. They should be addressed for optimization but are not critical to the system's performance or security.

Status Definitions

Each identified security finding is assigned a status that reflects its current stage of remediation or acknowledgment. The status provides clarity on the handling of the issue and ensures transparency in the auditing process. The statuses are as follows:

Significance	Description
Resolved	The identified vulnerability has been fully mitigated either through the implementation of the recommended solution proposed by Hashlock or through an alternative client-provided solution that demonstrably addresses the issue
Acknowledged	The client has formally recognized the vulnerability but has chosen not to address it due to the high cost or complexity of remediation. This status is acceptable for medium and low-severity findings after internal review and agreement. However, all high-severity findings must be resolved without exception.
Unresolved	The finding remains neither remediated nor formally acknowledged by the client, leaving the vulnerability unaddressed.

Penetration Test Findings

Low

[L-01] KMS - Lack of audit logs for KMS

Description

The KMS system does not seem to log when requests for decrypting keys come in.

Recommendation

Since the decryption needs to be done only when the web server is restarted, which is not a common occurrence, implementing logs and a notification system for the KMS will be helpful for catching possible unauthorized usage.

Status

Resolved

[L-02] KMS - Plaintext secrets readable in process environment variables

Description

Currently, the web server process is receiving the secret values from environment variables. This leaves them exposed to automated post-exploitation methods.

Recommendation

In order to make plaintext secrets less accessible, the environment variables could be unset after they are read by the application, or they could be queried from the KMS inside the application itself.

Status

Resolved

[L-03] KMS - Private key kept in permanent storage

Description

The project design document states that the file containing the private key should be stored in a temporary file system in order to protect it. However, in the current setup, this file is stored in a permanent location (/etc/default/ivy-kmsd)

Recommendation

A tmpfs mount should be created as described in the design document in order to stop the private key from being leaked.

Status

Resolved

Conclusion

After Hashlock's analysis, the IvyFi project seems to have a sound and well-tested code base, now that our vulnerability findings have been resolved. Overall, most of the code is correctly ordered and follows industry best practices. The code is well commented on as well. To the best of our ability, Hashlock is not able to identify any further vulnerabilities.

Our Methodology

Hashlock strives to maintain a transparent working process and to make our Penetration Tests a collaborative effort. The objective of our security Penetration Tests is to improve the quality of systems and upcoming projects we review and to aim for sufficient remediation to help protect users and project leaders. Below is the methodology we use in our security Penetration Test process.

Manual Code Review:

In manually analysing all of the code, we seek to find any potential issues with code logic, error handling, protocol and header parsing, cryptographic errors, and random number generators. We also watch for areas where more defensive programming could reduce the risk of future mistakes and speed up future Penetration Tests. Although our primary focus is on the in-scope code, we examine dependency code and behavior when it is relevant to a particular line of investigation.

Vulnerability Analysis:

Our methodologies include manual code analysis, user interface interaction, and white box penetration testing. We consider the project's website, specifications, and whitepaper (if available) to attain a high-level understanding of what functionality the code base under review contains. We then communicate with the developers and founders to gain insight into their vision for the project. We install and deploy the relevant software, exploring the user interactions and roles. While we do this, we brainstorm threat models and attack surfaces. We read design documentation, review other Penetration Test results, search for similar projects, examine source code dependencies, skim open issue tickets, and generally investigate details other than the implementation.

Documenting Results:

We undergo a robust, transparent process for analysing potential security vulnerabilities and seeing them through to successful remediation. When a potential issue is discovered, we immediately create an issue entry for it in this document, even though we still need to verify the feasibility and impact of the issue. This process is vast because we document our suspicions early even if they are later shown not to represent exploitable vulnerabilities. We generally follow a process of first documenting the suspicion with unresolved questions, and then confirming the issue through code analysis, live experimentation, or automated tests. Code analysis is the most tentative, and we strive to provide test code, log captures, or screenshots demonstrating our confirmation. After this, we analyse the feasibility of an attack in a live system.

Suggested Solutions:

We search for immediate mitigations that live deployments can take and finally, we suggest the requirements for remediation engineering for future releases. The mitigation and remediation recommendations should be scrutinised by the developers and deployment engineers, and successful mitigation and remediation is an ongoing collaborative process after we deliver our report, and before the contract details are made public.

Disclaimers

Hashlock's Disclaimer

Hashlock's team has analysed the code bases in accordance with the best industry practices at the date of this report, in relation to: cybersecurity vulnerabilities and issues in the code base source code, the details of which are disclosed in this report, (Source Code); the Source Code compilation, deployment, and functionality (performing the intended functions).

Due to the fact that the total number of test cases is unlimited, the Penetration Test makes no statements or warranties on the security of the code. It also cannot be considered a sufficient assessment regarding the utility and safety of the code, bug-free status, or any other statements of the contract. While we have done our best in conducting the analysis and producing this report, it is important to note that you should not rely on this report only. We also suggest conducting a bug bounty program to confirm the high level of security of this code base.

Hashlock is not responsible for the safety of any funds and is not in any way liable for the security of the project.

Technical Disclaimer

Code is deployed and executed on a platform. The platform, its programming language, and other software related to the code base can have their own vulnerabilities that can lead to attacks. Thus, the Penetration Test can't guarantee the explicit security of the Penetration Tested code bases.

About Hashlock

Hashlock is an Australian-based company aiming to help facilitate the successful widespread adoption of distributed ledger technology. Our key services all have a focus on security, as well as projects that focus on streamlined adoption in the business sector.

Hashlock is excited to continue to grow its partnerships with developers and other web3-oriented companies to collaborate on secure innovation, helping businesses and decentralised entities alike.

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#hashlock.